

The reality is that we have a business model in which we dig 50 dry wells for every idea we explore that leads to a trade in which we find conviction.

To varying degrees, all of the trades we've discussed so far have reflected situations where we did not have a high level of conviction ourselves about the outcome we were seeking to make money on. Instead, we had conviction that the odds were substantially mispriced, providing us positive expected value, even though we might not have had a strong view about the direction of the underlying market.<sup>6</sup>

Whereas the classic value investor achieves capital preservation by taking risks only when he is confident that he won't lose a meaningful amount of money, we think about risk more probabilistically. We are just as fanatical about capital preservation, but instead of achieving a margin of safety by knowing that a company has assets or cash flow that are not valued properly by the market, we achieve our margin of safety by having a high expected value. We are comfortable losing 100 percent of our premium four times in a row, as long as we believe that a 25-times payout is likely to occur if we make the same bet 10 times consecutively.

High conviction on an event path priced like a low-probability event is our Holy Grail. The subprime credit default swap (CDS) trade was the poster child for a high-conviction trade priced as an improbable event. We got to the trade late, which is typical for us because we like situations where there is a compelling reason why a trade should be working, and the only counterargument is that everyone says it should work, but it hasn't. Over the course of a couple of months, we went from having a probabilistic view that the markets were too confident that home price appreciation would continue indefinitely to having a very high level of conviction that a liquidity bubble existed that would inevitably provide the catalyst for its own demise.



*Some background explanation is required to understand the following portion of this interview, which deals with Mai's trade in shorting mortgage-backed securitizations.*